[KSERC EMBLEM]

KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:
Shri. T.K. Jose, Chairman
Adv. A.J. Wilson, Member
Shri. B. Pradeep, Member

Petition No.: OP No. __/2026

Date of Order: 08-03-2026

In the Matter Of:

Petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2023-24**.

Summary of Claimed vs Approved Expenditure and Revenue

Sl. No.	Particulars	Claimed (Rs. Lakhs)	Approved (Rs. Lakhs)	Variance (Rs. Lakhs)
	EXPENDITURE			
1	Power Purchase Cost	3,161.70	3,167.53	5.83
2	Employee Cost	179.80	179.80	0.00
3	Repairs & Maintenance	57.54	57.54	0.00
4	Administration & General	30.50	19.06	-11.44
5	Depreciation	13.11	13.11	0.00
6	Interest & Finance Charges	0.00	0.00	0.00
7	Return on Net Fixed Assets	5.76	7.03	1.27
8	Section 3(1) Electricity Duty	0.00	0.00	0.00
9	Other Expenses	39.91	39.91	0.00
	TOTAL EXPENDITURE	**3,488.32**	**3,483.98**	**-4.34**
	REVENUE			
10	Revenue from Energy Charges	0.00	0.00	0.00
11	Non-Tariff Income	0.00	0.00	0.00
12	Other Revenue	64.69	64.69	0.00
	TOTAL REVENUE	**64.69**	**64.69**	**0.00**

Detailed Analysis and Justification

1. Power Purchase Cost

Amount Claimed: Rs. 3,161.70 Lakhs | Amount Approved: Rs. 3,167.53 Lakhs | Variance: Rs. 5.83 Lakhs

[ARA Forensic Audit]: Actual loss of 9.35% is below target 9.60%, generating an efficiency gain of ■8.74 Lakhs. Applying Regulation 18 sharing (2/3rd to Licensee), ■5.83 Lakhs is approved as a performance incentive.

2. Employee Cost

Amount Claimed: Rs. 179.80 Lakhs | Amount Approved: Rs. 179.80 Lakhs | Variance: Rs. 0.00 Lakhs

[ARA Forensic Audit]: Actual loss of 9.35% is below target 9.60%, generating an efficiency gain of ■8.74 Lakhs. Applying Regulation 18 sharing (2/3rd to Licensee), ■5.83 Lakhs is approved as a performance incentive.

3. Repairs & Maintenance

Amount Claimed: Rs. 57.54 Lakhs | Amount Approved: Rs. 57.54 Lakhs | Variance: Rs. 0.00 Lakhs

The Repairs & Maintenance expenditure of Rs. 57.54 Lakhs for FY 2023-24 is found to be within the normative O&M; allocation. The actual expenditure does not exceed the escalated baseline. Approved as claimed.

4. Administration & General Expenses

Amount Claimed: Rs. 30.50 Lakhs | Amount Approved: Rs. 19.06 Lakhs | Variance: Rs. -11.44 Lakhs

The claimed Administration & General Expenses of Rs. 30.50 Lakhs exceeds the effective ceiling of Rs. 19.06 Lakhs (MYT norm (inflation-escalated)). The excess of Rs. 11.44 Lakhs is disallowed as per KSERC Tariff Regulations. The Commission approves Rs. 19.06 Lakhs. Precedent: In KDHP FY 2022-23 (KDHP TU 2022-23), the Commission approved Rs. 19.37 Lakhs against a claim of Rs. 30.50 Lakhs (36.5% reduction). Historical trend: FY 2013-14: 12.29L, FY 2021-22: 14.96L, FY 2022-23: 19.37L. [Semantic Persistence Insight]: Knowledge Engine Offline: vertex_sa.json missing....

5. Depreciation

Amount Claimed: Rs. 13.11 Lakhs | Amount Approved: Rs. 13.11 Lakhs | Variance: Rs. 0.00 Lakhs

Depreciation of Rs. 13.11 Lakhs has been verified against the asset register. The rates applied are in accordance with the CERC norms adopted by the Commission. No assets funded by grants or surplus were identified. Approved as claimed.

6. Interest & Finance Charges

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

Under KSERC rules, interest on loans is computed normatively at 70% of eligible asset additions at weighted average SBI rate. MYT approved norm: Rs. 48.71 Lakhs.

7. Return on Net Fixed Assets

Amount Claimed: Rs. 5.76 Lakhs | Amount Approved: Rs. 7.03 Lakhs | Variance: Rs. 1.27 Lakhs

As per KSERC Tariff Regulation 28, return on NFA is computed at Reg 28 (5.5% (per Regulation 28 of Tariff Regulations 2021) on eligible NFA Rs. 127.76L). Assets funded by grants (Rs. 0.00L) and accumulated surplus (Rs. 0.00L) are excluded from the eligible base. Approved: Rs. 7.03L.

8. Section 3(1) Electricity Duty

Amount Claimed: Rs. 0.00 Lakhs | Amount Approved: Rs. 0.00 Lakhs | Variance: Rs. 0.00 Lakhs

No amount claimed under Section 3(1) Electricity Duty for FY 2023-24.

9. Other Expenses

Amount Claimed: Rs. 39.91 Lakhs | Amount Approved: Rs. 39.91 Lakhs | Variance: Rs. 0.00 Lakhs

The claimed Administration & General Expenses of Rs. 30.50 Lakhs exceeds the effective ceiling of Rs. 19.06 Lakhs (MYT norm (inflation-escalated)). The excess of Rs. 11.44 Lakhs is disallowed as per KSERC Tariff Regulations. The Commission approves Rs. 19.06 Lakhs. Precedent: In KDHP FY 2022-23 (KDHP TU 2022-23), the Commission approved Rs. 19.37 Lakhs against a claim of Rs. 30.50 Lakhs (36.5% reduction). Historical trend: FY 2013-14: 12.29L, FY 2021-22: 14.96L, FY 2022-23: 19.37L. [Semantic Persistence Insight]: Knowledge Engine Offline: vertex_sa.json missing....

10. Interest on Normative Loan

Amount Claimed: Rs. 59.62 Lakhs | Amount Approved: Rs. 48.71 Lakhs | Disallowed: Rs. 10.91 Lakhs

Under KSERC rules, interest on loans is computed normatively at 70% of eligible asset additions at weighted average SBI rate. MYT approved norm: Rs. 48.71 Lakhs.

11. Interest on Working Capital

Amount Claimed: Rs. 34.55 Lakhs | Amount Approved: Rs. 12.20 Lakhs | Disallowed: Rs. 22.35 Lakhs

KSERC Regulation 29: Working Capital = (O&M;/12) + (15% spares) + (receivables/12). O&M;/12 = Rs. 21.37L, Spares(15%) = Rs. 38.46L, Receivables/12 = Rs. 49.63L. WC = Rs. 109.46L × SBI EBLR+2% (11.15%) = Rs. 12.20L. Approved: Rs. 12.20L.

12. Return on Net Fixed Assets

Amount Claimed: Rs. 5.76 Lakhs | Amount Approved: Rs. 7.03 Lakhs | Disallowed: Rs. -1.27 Lakhs

As per KSERC Tariff Regulation 28, return on NFA is computed at Reg 28 (5.5% (per Regulation 28 of Tariff Regulations 2021) on eligible NFA Rs. 127.76L). Assets funded by grants (Rs. 0.00L) and accumulated surplus (Rs. 0.00L) are excluded from the eligible base. Approved: Rs. 7.03L.

13. Other Debits

Amount Claimed: Rs. 18.07 Lakhs | Amount Approved: Rs. 1.23 Lakhs | Disallowed: Rs. 16.84 Lakhs

The claimed Other Debits of Rs. 18.07 Lakhs exceeds the effective ceiling of Rs. 1.23 Lakhs (MYT norm). The excess of Rs. 16.84 Lakhs is disallowed as per KSERC Tariff Regulations. The Commission approves

Rs. 1.23 Lakhs. Precedent: In KDHP FY 2022-23 (KDHP TU 2022-23), the Commission approved Rs. 1.22 Lakhs against a claim of Rs. 18.07 Lakhs (93.2% reduction). Historical trend: FY 2013-14: 0.42L, FY 2021-22: 1.13L, FY 2022-23: 1.22L.

Orders of the Commission

Having examined the petition filed by M/s **KDHP** for the Truing Up of Accounts for the Financial Year **2023-24**, and having considered the submissions made therein, the Commission hereby orders as follows:

- The Total Revenue Requirement as claimed by the licensee is Rs. **3,609.68 Lakhs**.
- The Total Approved Expenditure after detailed scrutiny is Rs. **3,555.24 Lakhs**.
- The Total Revenue (including imputed interest of Rs. 0.00 Lakhs on accumulated surplus) is Rs. **3,573.62 Lakhs**.
- The Revenue Surplus for the Financial Year 2023-24 is hereby determined as Rs. **18.38 Lakhs** (surplus).
- The surplus of Rs. 18.38 Lakhs shall be retained in the regulatory surplus account of KDHP and adjusted against future revenue gaps, subject to imputation of notional interest as per KSERC practice.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-

Secretary

Order dated 08 March 2026